Note 15: Income Taxes

The primary components of our deferred tax assets and (liabilities) were as follows:

(Amounts in thousands)	4/30/05	4/24/04
Current		
Allowance for doubtful accounts	$ 6,782	$ 13,375
Warranty	8,004	8,022
Workers' compensation	1,197	3,112
Inventory	(1,722)	(3,548)
State income tax	12,811	14,144
Restructuring	1,821	5,848
Consolidation of variable interest entities	3,170	5,101
Valuation reserve	(12,212)	(12,708)
Other	2,928	(1,959)
Total current net deferred tax assets	22,779	31,387
Noncurrent		
Trade names*	(6,484)	(8,545)
Property, plant and equipment	(10,245)	(15,238)
Deferred and other compensation	12,719	11,436
Pension	1,513	(7,269)
Other	(2,892)	5,979
Total noncurrent net deferred tax liabilities	(5,389)	(13,637)
Net deferred tax asset	$ 17,390	$ 17,750

*Deferred tax liabilities of $2.4 million and $16.0 million were eliminated in connection with the write-down of trade names for fiscal 2005 and fiscal 2004, respectively.

Our effective tax rate differs from the U.S. federal income tax rate for the following reasons:

(% of pre-tax income)	4/30/05	4/24/04	4/26/03
Statutory tax rate	35.0%	35.0%	35.0%
Increase (reduction) in income taxes resulting from:			
State income taxes, net of federal benefit	4.8	8.0	3.0
Goodwill impairment	--	45.1	--
Dividend from foreign subsidiary	0.5	1.4	--
Non-deductible meals and entertainment	0.7	2.3	0.3
ESOP benefit	(0.7)	(1.8)	(0.3)
Change in valuation allowance	(1.7)	--	--
Foreign tax rate differential	(0.6)	(0.1)	0.2
Miscellaneous items	--	(1.2)	(0.2)
Effective tax rate	38.0%	88.7%	38.0%

At April 30, 2005, and April 24, 2004, we had state net operating losses and credits that, if fully utilized, will result in a tax reduction of approximately $14.7 million and $14.1 million, respectively. Due to the uncertainty of their actual utilization, we have established a valuation reserve of $11.4 million and $12.1 million at April 30, 2005, and April 24, 2004. These state net operating

losses and credits expire between fiscal 2006 and fiscal 2025. In addition, at April 30, 2005, and April 24, 2004, respectively. We had foreign net operating losses that, if fully utilized, will result in a tax reduction of approximately $1.1 million and $0.9 million, respectively. Due to the uncertainty of their actual utilization, we have established a valuation reserve of $0.8 million and $0.6 million at April 30, 2005, and April 24, 2004, respectively.

During fiscal 2005 a valuation reserve attributable to a state net operating loss was reversed, resulting in a net tax benefit of $1.0 million. This action was based on recent restructuring efforts that made it more likely than not that the net operating losses will be utilized.

During fiscal 2005 and 2004 we repatriated earnings of a Canadian subsidiary. The related income tax expense was mostly offset by available credits, and we have recorded a deferred tax liability of less than $0.1 million, as we no longer consider such earnings to be permanently reinvested. We expect that our earnings from other foreign subsidiaries will remain permanently reinvested. Consequently, no deferred tax liability has been recorded for these undistributed earnings. The estimate of these permanently reinvested earnings is $4.6 million at April 30, 2005. The potential deferred tax liability attributable to these earnings is not currently estimable.

Income tax expense applicable to continuing operations consists of the following components (for the fiscal years ended):

(Amounts in thousands)		**4/30/05**	**4/24/04**	**4/26/03**
Federal	-current	$ 7,211	$ 26,972	$ 44,706
	-deferred	10,323	(12,131)	4,684
State	-current	2,417	3,671	6,444
	-deferred	(1,199)	(984)	714
Foreign	-current	2,073	1,994	2,142
	-deferred	(541)	(160)	403
Total income tax expense		$ 20,284	$ 19,362	$ 59,093

Income from continuing operations before income taxes consists of the following (for the fiscal years ended):

(Amounts in thousands)	**4/30/05**	**4/24/04**	**4/26/03**
United States	$ 47,977	$ 15,951	$ 149,036
Foreign	5,402	5,289	6,471
Total	$ 53,379	$ 21,240	$ 155,507

Cash paid for taxes during the fiscal years ended April 30, 2005, April 24, 2004, and April 26, 2003, was $23.7 million, $30.0 million and $60.9 million, respectively.